

Robinhood Markets, Inc.

HOOD NASDAQ

Hold	\$90.30 ▲ 4.32%	12M Price Target \$95.00	52-Week Range \$63.52 – \$153.86	Market Cap \$81.19B
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HOOD: UK Crypto Green Light, But Rally Losing Steam

WHAT HAPPENED

- Stock bounced 4.3% today after four days of selling — the trigger looks like the UK crypto approval news. In plain English: UK regulators gave Robinhood the green light to offer crypto trading there, opening up a big new market. But note the "major limits" caveat in the headline — approvals came with restrictions, so this isn't a blank check.
- Volume is way lighter today (8M vs 20M+ recently), which tells me this bounce is more of a relief rally than aggressive new buying. Options flow is bullish (calls outpacing puts more than 2-to-1), so traders are positioning for more upside into August expiry.

WHY IT MATTERS

Here's what I think is really going on: HOOD is transitioning from a "meme stock trading app" into a diversified financial platform — crypto, prediction markets (they just sponsored the Mets deal), IPO access (SpaceX), and AI trading agents. Each of these is a real growth vector, and the market has been paying up for that story — the stock nearly quadrupled off its 52-week low. But at \$90+, a lot of good news is priced in, which is why we saw the pullback last week. The UK approval is incrementally positive but not a game-changer alone; the real question is whether Vlad Tenev's "AI agents in crypto" vision starts translating into actual revenue in the next 2-3 quarters. If it does, this stock has another leg up. If not, we're in for a choppy range.

POLICY & POLITICAL WATCH

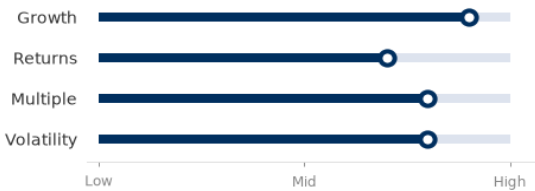
The big one to watch: prediction markets are in a regulatory gray zone right now. The CFTC has been going back and forth on whether platforms like Kalshi (which HOOD partners with) can legally offer event contracts on elections and sports — a favorable ruling unlocks a massive new revenue stream, an unfavorable one kills a growth story. Second, the crypto regulatory framework under the current administration has been notably friendlier — the FIT21 successor legislation working through Congress would give clearer rules for crypto exchanges, which directly benefits HOOD's crypto business (a big chunk of their revenue). Watch also for any SEC pushback on retail access to private markets — HOOD's SpaceX pre-IPO offering is exactly the kind of thing regulators have historically been nervous about.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$90.30
12M Price Target	\$95.00
Upside / (Downside)	+5.2%
Market Cap	\$81.19B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,100M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.40
Fwd P/E	48.8x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$100.00	\$92.00	\$82.00
6 Months	\$115.00	\$95.00	\$72.00
1 Year	\$140.00	\$105.00	\$65.00
2 Years	\$175.00	\$125.00	\$55.00
5 Years	\$250.00	\$160.00	\$40.00
10 Years	\$450.00	\$240.00	\$30.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+2.7% today) and Consumer Discretionary (+6.6% over 5 days) — risk-on behavior returning, which historically correlates with more retail trading activity (good for HOOD).

COOLING OFF: Materials and Industrials are lagging — suggests the market isn't buying the "broad economic acceleration" story, just the tech/consumer narrative.

ROTATION WATCH: Money is rotating back into growth and risk-on names after last week's dip. Financials only up 0.4% though — traditional banks aren't participating, meaning HOOD is being treated as a tech/growth name, not a bank. That's a double-edged sword: higher multiple in good times, harder fall in bad.

RELATED PLAY: If retail trading heats up again, the exchanges themselves win — think ICE, NDAQ, and CME. Also COIN (Coinbase) as the pure-play crypto proxy — moves in near-lockstep with HOOD's crypto revenue narrative.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Direct crypto beneficiary, moves on the same regulatory clarity tailwinds.
- SNEX (StoneX): Reporting Q3 earnings, could set the tone for trading platform quarter.

HOOD CONTEXT: HOOD is roughly in-line with fintech peers today but has been the clear winner on a 12-month basis. The stock sits at 30% of its 52-week range — that's the "digestion after a huge run" zone. Not a great spot to chase, better to wait for either a pullback to \$80s or a breakout above \$100 with volume confirming it.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the business transformation story but the price is no longer a gift.

POSITION SIZE: 2-4% — this is volatile enough that sizing matters more than being right about direction. If you already own it from lower, hold; if starting fresh, be patient.

ENTRY POINTS: \$82-86 on any macro-driven pullback, or wait for a decisive break above \$100 on volume for a momentum add.

TIME HORIZON: 12-18 months — the real catalysts (prediction market clarity, crypto regulation, AI agent monetization) all play out over that window.

WHEN TO BAIL: If crypto volumes collapse two quarters in a row, or if the SEC/CFTC drops a hostile ruling on prediction markets or PFOF, I'm reducing significantly.

HEDGING: Simplest hedge — buy some out-of-the-money put options as insurance, or pair the position with a short in Coinbase to isolate HOOD's platform diversification story from pure crypto risk.